Business Strategy Analysis

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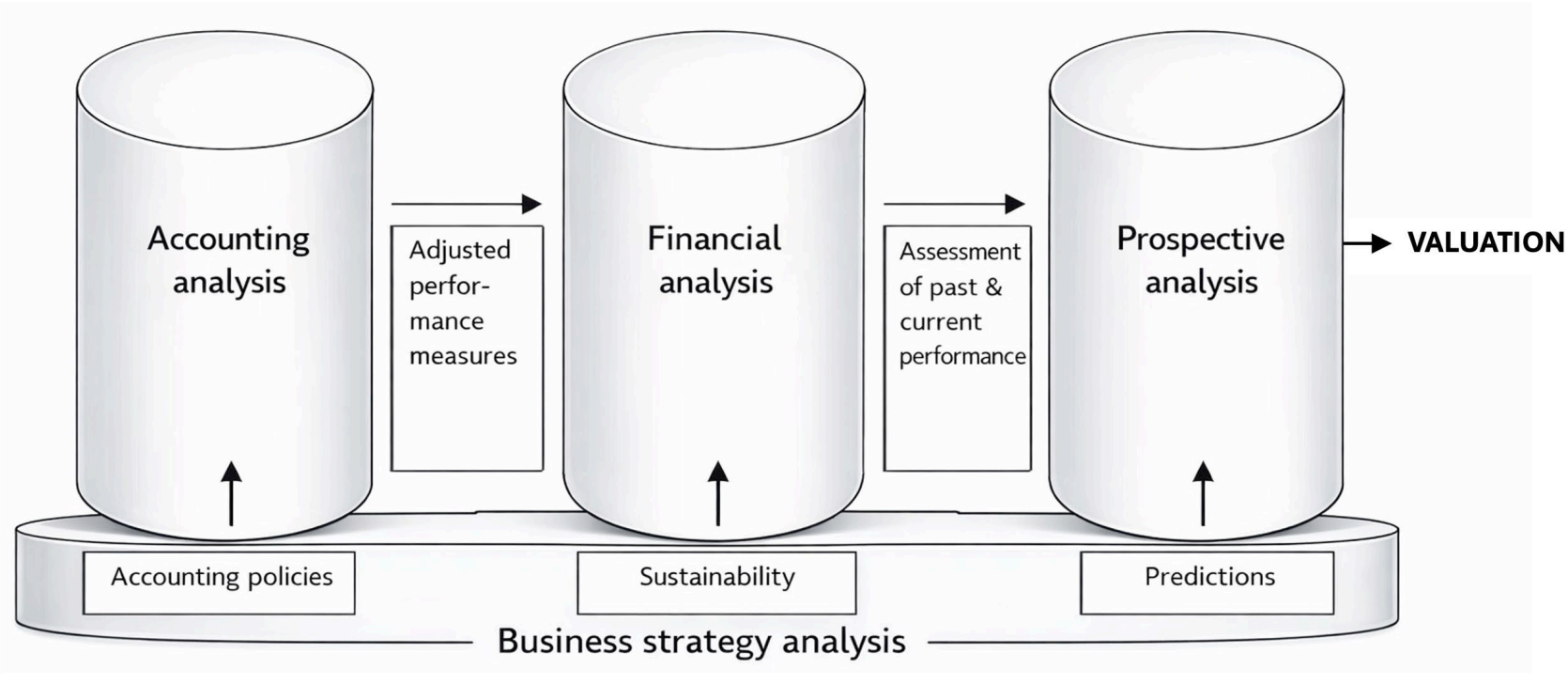
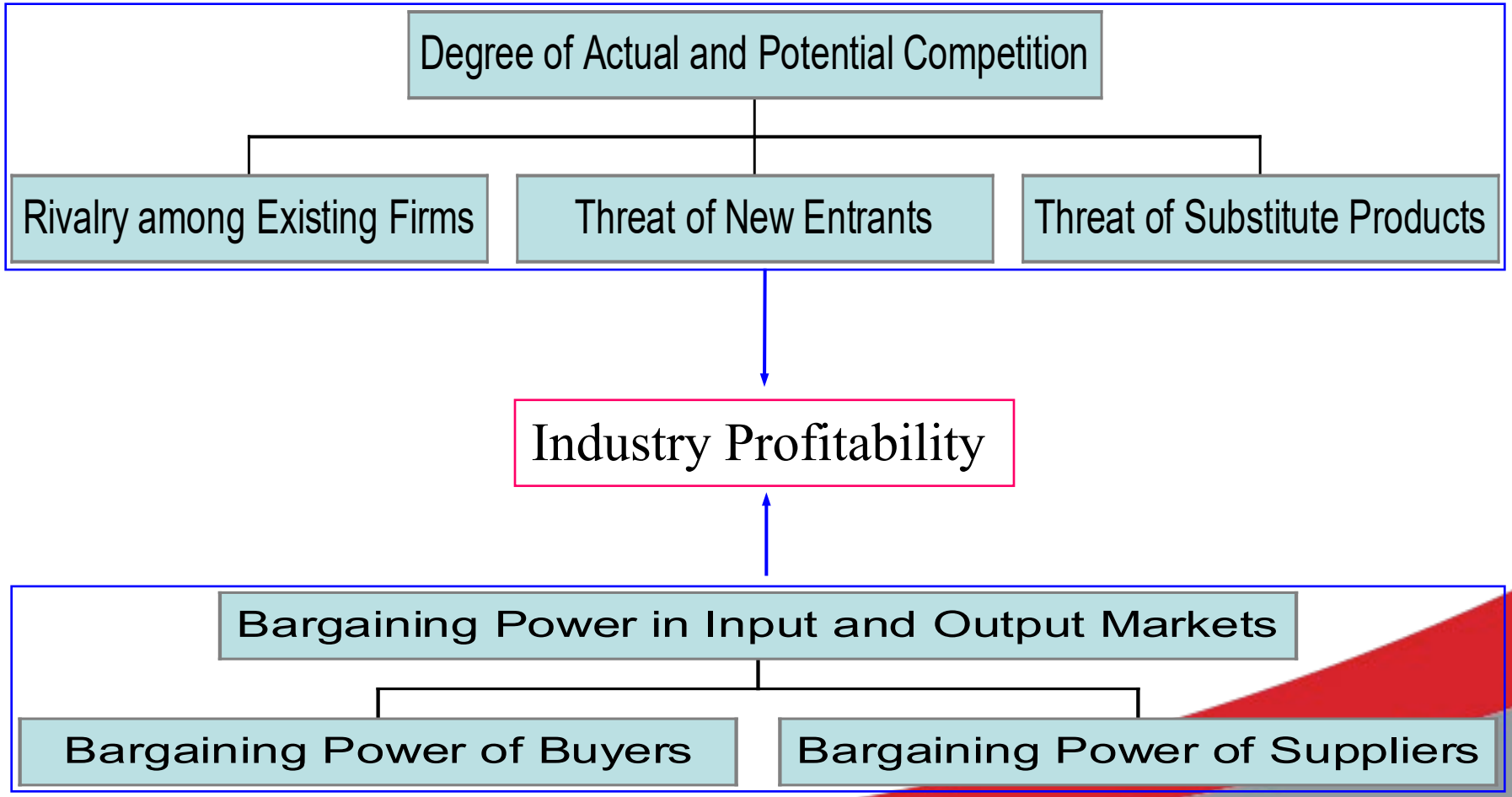
Recall: Business Analysis Tools



Industry Structure and Profitability



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Competitive Force 1: Rivalry Among Existing Firms

- Higher degrees of competition among firms:
  - Push prices towards the marginal cost of production.
  - Make non-price dimensions of products or services more important.

- Determinants of the intensity of competition among firms:
  - Industry growth rate
  - Concentration and balance of competitors
  - Degree of differentiation in products and services
  - Switching costs
  - Scale/Learning economies and ratio of fixed to variable costs.
  - Excess capacity
  - Exit barriers

Competitive Force 2: Threat of New Entrants

- The ease with which a new firm can enter an industry will affect the profitability of other firms within the industry.

- Factors affecting the barriers to entry are:
  - Economies of scale
  - First mover advantage
  - Relationships with suppliers and customers
  - Legal barriers

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Competitive Force 3: Threat of Substitute Products

- The degree to which substitute products or services exist affects the industry's bargaining power with suppliers and customers, and ultimately profitability.
- The degree to which substitutes exist depends upon:
  - Relative price and performance of competing products or services
  - Willingness of customers to accept substitutes

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Competitive Force 4: Bargaining Power of Buyers

- Buyer bargaining power can exert downward pressure on prices.

- Factors that can affect this bargaining power are:
  - Switching costs
  - Differentiation
  - Relative bargaining power of buyers
    - Number of buyers
    - Volume per buyer

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Competitive Force 5: Bargaining Power of Suppliers

- A mirror image of the bargaining power of buyers.

- Factors that can affect this bargaining power are:
  - Switching costs
  - Differentiation
  - Relative bargaining power of suppliers
    - Number of buyers from the same supplier
    - Volume per buyer

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Limitations to Industry Analysis

- There are no clear industry boundaries
- What about firms with multiple business segments ?
  - Analyze business segments separately
  - Analyze how the separate segments are managed within the corporate governance structure
    - Any benefits to operating under one corporate umbrella?
- Who are Apple's competitors?

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The following table shows disaggregated net sales, as well as the portion of total net sales that was previously deferred, for 2025, 2024 and 2023 (in millions):

	2025	2024	2023
iPhone	$ 209,586	$ 201,183	$ 200,583
Mac	33,708	29,984	29,357
iPad	28,023	26,694	28,300
Wearables, Home and Accessories	35,686	37,005	39,845
Services [1]	109,158	96,169	85,200
Total net sales	$ 416,161	$ 391,035	$ 383,285

1 USD ≈ 1360 KRW in 2024

Revenue by major product for the year ended December 31, 2024 are as follows:

(In millions of Korean won)	TV, monitor, and other	Smartphone and other	Memory	Display panels	Total[*]
Revenue	30,931,628	114,424,862	84,463,005	29,157,820	300,870,903

[*] Other products are not separately disclosed.

84,136 m USD

xiaomi

	Year ended December 31, 2024						
	Smartphone × AIoT					Smart EV	
	Smartphones RMB'000	IoT and lifestyle products RMB'000	Internet services RMB'000	Other related businesses RMB'000	Subtotal RMB'000	and other new initiatives RMB'000	Total RMB'000
Segment revenues	191,759,315	104,103,874	34,115,373	3,174,148	333,152,710	32,753,640	365,906,350
Cost of sales	(167,505,466)	(83,011,803)	(7,968,553)	(4,157,041)	(262,642,863)	(26,703,293)	(289,346,156)
Gross profit/(loss)	24,253,849	21,092,071	26,146,820	(982,893)	70,509,847	6,050,347	76,560,194

27,394m USD

1 USD ≈ 7 CNY in 2024

(a) Revenue information in respect of business segments

Including mobile phones

(CNY million)	2024	2023
ICT Infrastructure	**369,903**	352,756
Consumer	**339,006**	245,134
Cloud Computing (i)	**38,523**	35,514
Digital Power	**68,678**	55,229
Intelligent Automotive Solution	**26,353**	4,588
Other items	**19,609**	10,953
Total	**862,072**	704,174

48, 429m USD

HUAWEI

	2025						
	Americas	Europe	Greater China	Japan	Rest of Asia Pacific	Corporate	Total
Net sales	$ 178,353	$ 111,032	$ 64,377	$ 28,703	$ 33,696	$ —	$ 416,161
Cost of sales	(95,699)	(58,617)	(35,141)	(13,779)	(17,724)	—	(220,960)
Research and development	—	—	—	—	—	(34,550)	(34,550)
Selling and marketing	(10,174)	(4,676)	(2,319)	(969)	(1,386)	—	(19,524)
General and administrative	—	—	—	—	—	(8,077)	(8,077)
Operating income/(loss)	$ 72,480	$ 47,739	$ 26,917	$ 13,955	$ 14,586	$ (42,627)	$ 133,050

	2024						
	Americas	Europe	Greater China	Japan	Rest of Asia Pacific	Corporate	Total
Net sales	$ 167,045	$ 101,328	$ 66,952	$ 25,052	$ 30,658	$ —	$ 391,035
Cost of sales	(89,587)	(55,197)	(37,519)	(11,744)	(16,305)	—	(210,352)
Research and development	—	—	—	—	—	(31,370)	(31,370)
Selling and marketing	(9,802)	(4,341)	(2,351)	(854)	(1,291)	—	(18,639)
General and administrative	—	—	—	—	—	(7,458)	(7,458)
Operating income/(loss)	$ 67,656	$ 41,790	$ 27,082	$ 12,454	$ 13,062	$ (38,828)	$ 123,216

1 USD ≈ 1360 KRW in 2024

87,374m USD **36,852m USD**

(1) As of and for the year ended December 31, 2024

(In millions of Korean won)	Korea	America	Europe	Asia and Africa	China	Intercompany elimination	Consolidated
Revenue	39,826,088	118,828,546	50,118,754	48,171,377	43,926,138	-	300,870,903
Non-current assets(*)	177,190,869	28,361,758	6,736,899	9,681,791	10,007,583	(2,295,125)	229,683,775

32,299m USD

	Year ended December 31,			
	2024		2023	
	RMB'000	%	RMB'000	%
Mainland China	212,562,449	58.1	149,189,720	55.1
Rest of the world (Note (a))	153,343,901	41.9	121,780,421	44.9
	365,906,350		270,970,141	

30,336m USD

(b) Geographical revenue information

(CNY million)	2024	2023
China	615,264	471,303
Europe, the Middle East and Africa (EMEA)	148,355	145,343
Asia Pacific	43,306	41,041
Americas	36,301	35,362
Others	18,846	11,125
Total	862,072	704,174

87,895m USD

1 USD ≈ 7 CNY in 2024

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Competitive Strategy Analysis

- Individual firms must choose appropriate strategies to succeed within their industry segment.

<u>Cost Leadership</u>

Supply same products or services at a lower cost

<u>Differentiation</u>

Supply a unique product or service at a cost lower than the price premium customers will pay

Competitive Advantage

Core Competencies

- Cost Leadership
  - Economies of scale
  - Efficient production
  - Simpler product design
  - Lower input cost
  - Low-cost distribution
  - Little brand advertising
  - Little investment in R&D
  - Tight cost control system
- Differentiation
  - Superior product quality
  - Superior product variety
  - Superior customer service
  - More flexible delivery
  - Investment in brand image
  - Investment in R&D
  - Control system focus on creativity and innovation

Achieving and Sustaining Competitive Advantage

- Choice of strategy is an important first step for a firm.
- Analysts need to evaluate the <u>likelihood of achieving and sustaining</u> competitive advantage
- Factors to evaluate include:
  - Strategic positioning
  - Unique core competencies
  - A system of activities that fits with the strategy and potentially reinforce each other

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Mini Case 1: IKEA group

Applying Competitive Strategy Analysis to the IKEA group

- **10 mins** group discussion, please discuss the following questions:
  - What is IKEA's competitive strategy?
  - What are IKEA's core competencies?

Applying Competitive Strategy Analysis to the IKEA group

- What is IKEA's competitive strategy:
  - Cost leadership
- What are IKEA's core competencies:
  - Global strategy (economies of scale)
  - Outsourcing production around the world (high bargaining power)
  - Economic designs (tight control over design of furniture)
  - Logistics (integration of stores and warehouses, flat-packs – low storage and transportation costs)
  - Sales (customer self-service – few sales staff and low personnel expenses)

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Applying Competitive Strategy Analysis to the IKEA group (cont'd)

- Differentiation
  - Distinct product design
  - Not main driver of its success (easy to be replicated)

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Pop Quiz

- What is the competitive strategy that a firm may choose?

- What are their respective core competences?

Competitive Strategies

- <u>Cost Leadership</u>
  - Economies of scale
  - Efficient production
  - Simpler product design
  - Lower input cost
  - Low-cost distribution
  - Little brand advertising
  - Little investment in R&D
  - Tight cost control system
- <u>Differentiation</u>
  - Superior product quality
  - Superior product variety
  - Superior customer service
  - More flexible delivery
  - Investment in brand image
  - Investment in R&D
  - Control system focus on creativity and innovation

Mini Case 2: International apparel retailer

H&M

- Sweden-based
- Publicly listed in Stockholm Stock Exchange
- 97,000 employees
- 4,200+ stores in 47 markets
- €20.5b revenue in 2024

Inditex

- Spain-based
- Publicly listed in Spanish Stock Exchange
- 162,000 employees
- 5,500+ stores in 77 countries
- €38.6b revenue in 2024

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International apparel retail industry

- Cyclical
  - Demand depends on consumer' discretionary spending and varies with economic cycles
  - Industry sales dropped in 2020 during Covid-19
- Moderate growth, customers price sensitive, increasing competition from low-cost retailers
- Perishable nature of fashion
  - Consumers' tastes change fast

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Timeline of fashion

1990s 2000s 2010s 2020s

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International apparel retail industry (con’td)

- Omnichannel shopping
  - TikTok, Facebook, Youtube, etc.
- Sustainability and fairness
  - Environmental footprint
  - Labor standards in supply chain

Mini Case: International apparel retailer

Mini Case: International apparel retailer

Competitive Strategy of H&M and Inditex

- **10 mins** group discussion, please discuss the following questions:
  - What is the competitive strategy of H&M and Inditex?
  - What are their core competencies?
  - What are the risks associated with their strategy?

Competitive Strategy of H&M and Inditex

- Differentiation ("fast fashion" retailing)
  - Sell trendy, affordable products
  - Respond quickly to changing trends by using digital analytics and maintaining short production and lead times

Core Competencies of H&M and Inditex

- In-house design
- Competitive pricing: outsourcing production, local suppliers and superior inventory management system (Inditex)
- High brand awareness:
  - H&M: advertising campaigns, collaboration with star designers and celebrities
  - Inditex: no ads, presence and appeal of stores
- Expansion and growth: economies of scale

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Major Risks

- Profits sensitive to foreign exchange rate fluctuations
- Dependent on suppliers (H&M)
- Increasing importance of online shopping
- Competition from discount apparel retailers (Primark) and online competitors (ASOS, Boohoo, Shein, Temu)
- Environmental concerns of fast fashion

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Conclusions

- Strategy analysis should be conducted BEFORE financial analysis
- Porter's Five Forces
- Competitive strategy:
  - Cost leadership vs. differentiation
  - Core competencies

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